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Test Series: March, 2019

MOCK TEST PAPER - 1

INTERMEDIATE (NEW): GROUP – II

PAPER – 7: ENTERPRISE INFORMATION SYSTEMS AND STRATEGIC MANAGEMENT

SECTION – A: ENTERPRISE INFORMATION SYSTEMS

Time Allowed – 1½ Hours **Maximum Marks – 50**

Division A - Multiple Choice Questions

Total Marks: 15 Marks

Question Nos. 1 to 5 carries 2 marks each.

1. To enhance automation, a company defines re-order levels for regular consumption of raw material items in their ERP system. Once an item hits Re-order Level, the system creates a purchase requisition for Economic Order Quantity(EOQ) / Re-Order Quantity (ROQ) and emails the same to selected vendors asking them to send quotations. This method of doing business can be best defined as _____.

   (a) Business Process Automation

   (b) Business Process Integration

   (c) Business Process Upgrade

   (d) Business Process Module

2. A new system has been developed that ensures that as soon as inventory level goes below re-order level in INVENTORY SYSTEM, a purchase requisition is generated from PURCHASE SYSTEM. Which testing method shall be best suited to check whether the two systems are working properly?

   (a) Unit Testing

   (b) Program Testing

   (c) Integration Testing

   (d) Whole-of-Program Testing

3. A Bank has updated its existing Corer Banking Systems (CBS) system to a new version. It is found that the new system is not automatically sending monthly Bank Statements to its customers. The same feature was available in the previous system. This error is result of mistake in which step?

   (a) Design

   (b) Planning

   (c) Implementation

   (d) Maintenance

4. An enterprise is configuring TALLY 9.1 ERP system for fixing monthly budgets for expenses. A heated argument is going on the issue of when to fix budget for any head. Please help management in deciding on when to create budgets.

   (a) After 3 months from today based on the average expenses

   (b) Today itself based on past years' experience and future projected increase

   (c) Cannot be fixed today

   (d) Today itself based on future projections for expenses

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5. Mr. X features in an advertisement of an Air conditioner of brand Z where he emphasizes that this Air Conditioner can be all controlled through a mobile. This is perfect example of _____ technology.

   (a) Cloud Computing

   (b) Internet of Things (IoT)

   (c) Artificial Intelligence

   (d) Bring Your Own Device (BYOD) **(5 x 2 = 10 Marks)**

Question Nos. 6 to 10 are of 1 mark each.

6. Which objective of Business Process Automation (BPA) is achieved using Passwords in Information Systems?

   (a) Confidentiality

   (b) Integrity

   (c) Timeliness

   (d) Availability

7. The most critical resource for an Enterprise Resource Planning (ERP) System is _____.

   (a) Hardware

   (b) Data

   (c) Software

   (d) People

8. In computer networking, best example of a device working on HALF DUPLEX transmission mode is ___.

   (a) Radio

   (b) Television

   (c) Mobile

   (d) Walkie - Talkie

9. In computer network, a vulnerability is best defined as _____.

   (a) Risk to system

   (b) Weakness of controls

   (c) Value of risk

   (d) Possible Threat

10. Which of the following combination is not a violation of maker - Checker Rule for Internal Control?

    (a) Cashier is also a Ledger Writer

    (b) Auditor acting as an Implementation Consultant

    (c) System Developer acting as a System Quality Control Personnel

    (d) Auditor Suggesting Controls **(5 x 1 = 5 Marks)**

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Division B - Descriptive Questions

Total Marks: 35 Marks

Question No. 1 is compulsory.

Attempt any three questions out of remaining four questions.

1. (a) Describe Role-Based Access Control (RBAC) mechanism in ERP Systems. **(3 Marks)**

   (b) List the key technology components of Core Banking System (CBS). **(2 Marks)**

2. (a) You are an Information Technology Consultant to a firm who is in the process of shortlisting the resources for the controls for the environmental exposures - water damage and power spikes in that firm. Prepare a checklist for same. **(6 Marks)**

   (b) Recognize the parameters based on which the success of Business Process Automation (BPA) can be evaluated? **(4 Marks)**

3. (a) As a Database Administrator, you are invited in a Conference to speak on Data Types in front of audience of aspiring CA students. You decide to segment your lecture in two - Master Data & Non-Master Data and identify different types of Master Data in Financial and Accounting systems. Determine the key points of the content of your lecture. **(6 Marks)**

   (b) To an individual/user/customer, identify various benefits that (s)he can draw from E-commerce transactions. **(4 Marks)**

4. (a) The deployment and implementation of Core Banking Systems should be controlled at various stages to ensure that bank's automation objectives are achieved. Determine the different stages. **(6 Marks)**

   (b) In an e-business environment, controls are required to be put in place at each participant's level. Discuss about the participants involved in any e-business environment. **(4 Marks)**

5. (a) The controls for a particular business process are implemented by breaking them down into smaller components. Determine the main components of controls for the Purchase to Pay Cycle. **(6 Marks)**

   (b) Compare between Subversive Attacks and Piggybacking. **(4 Marks)**

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Test Series: March, 2019

MOCK TEST PAPER - 1

INTERMEDIATE COURSE: GROUP – II

PAPER –7: ENTERPRISE INFORMATION SYSTEMS & STRATEGIC MANAGEMENT

SECTION – B: STRATEGIC MANAGEMENT

Time Allowed – 1½ Hours **Maximum Marks – 50**

Question 1 and 2 are compulsory.

Attempt any three questions out of remaining four questions.

1. (i) What can be defined as the art and science of formulating, implementing and evaluating cross-functional decisions that enable an organization to achieve its objectives?
   a. Strategy formulation
   b. Strategy evaluation
   c. Strategy implementation
   d. Strategic management

   (ii) Financial objectives involve all of the following except:
   a. Growth in revenues
   b. Larger market share
   c. Higher dividends
   d. Greater return on investment

   (iii) Vertical integration may be beneficial when
   a. Lower transaction costs and improved coordination are vital and achievable through vertical integration.
   b. Flexibility is reduced, providing a more stationary position in the competitive environment.
   c. Various segregated specializations will be combined.
   d. The minimum efficient scales of two corporations are different.

   (iv) During what stage of strategic management are a firm's specific internal strengths and weaknesses determined?
   a. Formulation
   b. Implementation
   c. Evaluation
   d. Feedback

   (v) In evaluating strategies, which one of Rumelt's criteria for evaluating strategies, refers to the need for strategists to examine sets of trends?
   a. Consistency
   b. Consonance
   c. Feasibility
   d. Advantage

   (vi) Individual investors are reliant on upon the organisation's managers to
   a. Maximize short-term returns in the form of dividends.

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b. Add value to their investments in a way that the stockholders could not accomplish on their own.

c. Achieve risk reduction at a lower cost than stockholders could obtain on their own.

d. Diversify the stockholder's investments in order to reduce risk.

(vii) Stability strategy is a _____ strategy.

a. SBU level

b. Corporate level

c. Business level

d. Functional level

(viii) What type of organizational structure do most small businesses follow?

a. Divisional structure

b. Functional structure

c. Hour Glass structure

d. Matrix structure

(ix) Conglomerate diversification is another name for which of the following?

a. Related diversification

b. Unrelated diversification

c. Portfolio diversification

d. Acquisition diversification

(x) What does Dogs symbolize in BCG matrix?

a. Invest

b. Harvest

c. Build

d. Divest

(xi) Which of these basic questions should a vision statement answer?

a. What is our business?

b. Who are our competitors?

c. Where we are to go?

d. Why do we exist?

(xii) Internal _____ are activities in an organization that are performed especially well.

a. Opportunities

b. Competencies

c. Strengths

d. Management

(xiii) Anything that a firm does especially well compared to rival firms is referred to as _____.

a. Competitive advantage

b. Comparative advantage

c. Opportunity cost

d. Sustainable advantage

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(xiv) An important activity in _____ is taking corrective action.

a. Strategy evaluation

b. Strategy implementation

c. Strategy formulation

d. Strategy leadership

(xv) A firm successfully implementing a differentiation strategy would expect:

a. Customers to be sensitive to price increases.

b. To charge premium prices.

c. Customers to perceive the product as standard.

d. To automatically have high levels of power over suppliers. ***(15 x 1 = 15 Marks)***

2. Infant care is a successful store chain that caters products for expectant mothers and new moms. They offer everything from nursing classes to strollers, toys, infant clothes, diapers and baby furniture. Due to a one-stop shop for infants, they are charging a premium for its products.

Identify and explain how the strategy adopted by infant care. ***(5 Marks)***

3. (a) The presence of strategic management cannot counter all hindrances and always achieve success for an organisation. What are the limitations attached to strategic management? ***(5 Marks)***

(b) Dinesh Yadav is the owner of a beverage-based private company in Sonipat, Haryana. His unit is producing fruit juices, cold drinks, soda and lime. While its products have significant market share in the northern part of country, the sales are on decline in last couple of years. He seeks help of a management expert who advises him to first understand the competitive landscape.

Explain the steps to be followed by Dinesh Yadav to understand competitive landscape.

(5 Marks)

4. (a) To convert strategic plans into actions and results, a manager must be able to direct organizational change, motivate people, build and strengthen company competencies and competitive capabilities, create a strategy-supportive work climate, and meet or beat performance targets.

Explain the principal aspects of strategy-execution process. ***(5 Marks)***

(b) Leatherite Ltd., was started as a leather company to manufacture footwear. Currently, they are in the manufacturing of footwears for males and females. The top management desires to expand the business in the leather manufacturing goods. To expand they decided to purchase more machines to manufacture leather bags for males and females.

Identify and explain the strategy opted by the top management of Leatherite Ltd. ***(5 Marks)***

5. (a) Explain Porter's five forces model as to how businesses can deal with the competition. ***(5 Marks)***

(b) Distinguish between Logistic Management and Supply Chain Management. ***(5 Marks)***

6. (a) How can a corporate culture be both strength and weakness of an organisation? ***(5 Marks)***

(b) Write a short note on Implementation Control. ***(5 Marks)***

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